

Agenda Item 3–E (Supplemental Paper)

Comparison of Proposed ISA 240 (Revised) with Extant ISA 240

This Agenda Item shows a comparison of the Introduction, Definitions, Objectives and Requirements sections of proposed ISA 240 (Revised) (column #1) as presented in **Agenda Item 3–A** and extant ISA 240 (column #2).

Proposed ISA 240 (Revised)	Extant ISA 240
Introduction	Introduction
Scope of this ISA	Scope of this ISA
1. This International Standard on Auditing (ISA) deals with the auditor's responsibilities relating to fraud in an audit of financial statements and the implications for the auditor's report. The requirements and guidance in this ISA refer to, or expand on, the application of other relevant ISAs, in particular ISA 200, ¹ ISA 220 (Revised), ² ISA 315 (Revised 2019), ³ ISA 330 ⁴ and ISA 701. ⁵	1. This International Standard on Auditing (ISA) deals with the auditor's responsibilities relating to fraud in an audit of financial statements. Specifically, it expands on how ISA 315 (Revised 2019) ⁶ and ISA 330 ⁷ are to be applied in relation to risks of material misstatement due to fraud.

¹ International Standard on Auditing (ISA) 200, *Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with International Standards on Auditing*

² ISA 220 (Revised), *Quality Control for an Audit of Financial Statements*

³ ISA 315 (Revised 2019), *Identifying and Assessing the Risks of Material Misstatement*

⁴ ISA 330, *The Auditor's Responses to Assessed Risks*

⁵ ISA 701, *Communicating Key Audit Matters in the Independent Auditor's Report*

⁶ ISA 315 (Revised 2019), *Identifying and Assessing the Risks of Material Misstatement*

⁷ ISA 330, *The Auditor's Responses to Assessed Risks*

Proposed ISA 240 (Revised)	Extant ISA 240
Responsibilities of the Auditor, Management and Those Charged with Governance	Responsibility for the Prevention and Detection of Fraud
<i>Responsibilities of the Auditor</i> 2. The auditor's responsibilities relating to fraud when conducting an audit in accordance with this, and other relevant, ISAs are to: (Ref: Para. A1) (a) Plan and perform the audit to obtain reasonable assurance that the financial statements as a whole are free from material misstatement due to fraud. This includes identifying and assessing risks of material misstatement in the financial statements due to fraud and designing and implementing responses to address the assessed risks of material misstatement due to fraud. (b) Communicate and report about matters related to fraud.	<i>Responsibilities of the Auditor</i> 5. An auditor conducting an audit in accordance with ISAs is responsible for obtaining reasonable assurance that the financial statements taken as a whole are free from material misstatement, whether caused by fraud or error ...
<i>Responsibilities of Management and Those Charged with Governance</i> 3. The primary responsibility for the prevention and detection of fraud rests with both management and those charged with governance of the entity. It is important that management, with the oversight of those charged with governance, place a strong emphasis on fraud prevention, which may reduce opportunities for fraud to take place, and fraud deterrence, which could persuade individuals not to commit fraud because of the likelihood of detection and punishment. This involves a commitment to creating and maintaining a culture of honesty and ethical behavior which can be reinforced by active oversight by those charged with governance.	4. The primary responsibility for the prevention and detection of fraud rests with both those charged with governance of the entity and management. It is important that management, with the oversight of those charged with governance, place a strong emphasis on fraud prevention, which may reduce opportunities for fraud to take place, and fraud deterrence, which could persuade individuals not to commit fraud because of the likelihood of detection and punishment. This involves a commitment to creating a culture of honesty and ethical behavior which can be reinforced by an active oversight by those charged with governance. Oversight by those charged with governance includes considering the potential for override of controls or other inappropriate influence over the financial reporting process, such as efforts by management to manage earnings in order to

Proposed ISA 240 (Revised)	Extant ISA 240
	influence the perceptions of analysts as to the entity's performance and profitability.
Key Concepts in this ISA	
<i>Characteristics of Fraud</i> 4. Misstatements in the financial statements can arise from either fraud or error. The distinguishing factor between fraud and error is whether the underlying action that results in the misstatement of the financial statements is intentional or unintentional.	Characteristics of Fraud 2. Misstatements in the financial statements can arise from either fraud or error. The distinguishing factor between fraud and error is whether the underlying action that results in the misstatement of the financial statements is intentional or unintentional.
5. Two types of intentional misstatements are relevant to the auditor – misstatements resulting from fraudulent financial reporting and misstatements resulting from misappropriation of assets. (Ref: Para. A2–A6)	3. ...Two types of intentional misstatements are relevant to the auditor – misstatements resulting from fraudulent financial reporting and misstatements resulting from misappropriation of assets. ...
Fraud or Suspected Fraud 6. Although fraud is a broad legal concept, for the purposes of the ISAs, the auditor is concerned with a material misstatement of the financial statements due to fraud. While the auditor may suspect or identify the occurrence of fraud as defined by this ISA, the auditor does not make legal determinations of whether fraud has actually occurred.	3. Although fraud is a broad legal concept, for the purposes of the ISAs, the auditor is concerned with fraud that causes a material misstatement in the financial statements. Although the auditor may suspect or, in rare cases, identify the occurrence of fraud, the auditor does not make legal determinations of whether fraud has actually occurred. (Ref: Para. A1–A7)
7. Fraud or suspected fraud may be identified during the audit when performing audit procedures in accordance with this and other ISAs. Allegations of fraud may also come to the attention of the auditor during the course of the audit. (Ref: Para. A7–A10)	

Proposed ISA 240 (Revised)	Extant ISA 240
Nature of the Circumstances Giving Rise to the Fraud and the Identified Misstatements 8. The auditor's determination of whether a fraud is material to the financial statements involves the exercise of professional judgment. Judgments about whether fraud could cause a material misstatement involve consideration of the nature of the circumstances giving rise to the fraud and the identified misstatement(s). Judgments about materiality involve both qualitative and quantitative considerations. (Ref: Para. A11)	
<i>Inherent Limitations</i> 9. While the risk of not detecting a material misstatement resulting from fraud may be higher than the risk of not detecting one resulting from error, that does not diminish the auditor's responsibility to plan and perform the audit to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement due to fraud. Reasonable assurance is a high, but not absolute, level of assurance.⁸	5. ...Owing to the inherent limitations of an audit, there is an unavoidable risk that some material misstatements of the financial statements may not be detected, even though the audit is properly planned and performed in accordance with the ISAs.
10. Because of the significance of the inherent limitations as it relates to fraud, there is an unavoidable risk that some material misstatements of the financial statements may not be detected, even though the audit is properly planned and performed in accordance with the ISAs.¹⁰ However, the inherent limitations of an audit are not a justification for the auditor to be satisfied with less than persuasive	6. As described in ISA 200,⁹ the potential effects of inherent limitations are particularly significant in the case of misstatement resulting from fraud. The risk of not detecting a material misstatement resulting from fraud is higher than the risk of not detecting one resulting from error. This is because fraud may involve sophisticated and carefully organized schemes designed to conceal it, such as forgery, deliberate failure to record transactions, or intentional misrepresentations being made to the auditor. Such attempts at concealment may be even more difficult to detect when accompanied by collusion. Collusion may cause the auditor to believe that audit evidence is persuasive when it is, in fact, false. The auditor's ability to detect a fraud depends on factors such as the skillfulness of the perpetrator, the frequency

⁸ ISA 200, paragraph 5

⁹ ISA 200, paragraph A56

¹⁰ ISA 200, paragraphs A53-A54

Proposed ISA 240 (Revised)	Extant ISA 240
audit evidence. ¹¹ (Ref: Para. A12)	and extent of manipulation, the degree of collusion involved, the relative size of individual amounts manipulated, and the seniority of those individuals involved. While the auditor may be able to identify potential opportunities for fraud to be perpetrated, it is difficult for the auditor to determine whether misstatements in judgment areas such as accounting estimates are caused by fraud or error.
11. Furthermore, the risk of the auditor not detecting a material misstatement resulting from management fraud is greater than for employee fraud, because management is frequently in a position to directly or indirectly manipulate accounting records, present fraudulent financial information or override controls designed to prevent similar frauds by other employees.	7. Furthermore, the risk of the auditor not detecting a material misstatement resulting from management fraud is greater than for employee fraud, because management is frequently in a position to directly or indirectly manipulate accounting records, present fraudulent financial information or override controls designed to prevent similar frauds by other employees.
<i>Professional Skepticism and Professional Judgment</i> 12. In accordance with ISA 200,¹² the engagement team is required to plan and perform the audit with professional skepticism and to exercise professional judgment. Professional judgment is exercised in making informed decisions about the courses of action that are appropriate in the circumstances, including when fraud or suspected fraud is identified. Professional skepticism supports the quality of judgments made by the engagement team and, through these judgments, supports the overall effectiveness of the engagement team in achieving quality at the engagement level. ISA 220 (Revised)¹³ requires the engagement partner to take responsibility for clear, consistent and effective actions to be taken that reflect the commitment to quality and establish and communicate the expected	8. When obtaining reasonable assurance, the auditor is responsible for maintaining professional skepticism throughout the audit, considering the potential for management override of controls and recognizing the fact that audit procedures that are effective for detecting error may not be effective in detecting fraud. The requirements in this ISA are designed to assist the auditor in identifying and assessing the risks of material misstatement due to fraud and in designing procedures to detect such misstatement.

¹¹ ISA 200, paragraphs A54

¹² ISA 200, paragraph 15-16

¹³ ISA 220 (Revised), paragraph 14

Proposed ISA 240 (Revised)	Extant ISA 240
behavior of engagement team members, including emphasizing the importance of each engagement team member maintaining professional skepticism throughout the audit engagement. (Ref: Para. A13–A14)	
<i>Non-Compliance with Laws and Regulations</i> 13. If the auditor identifies fraud or suspected fraud, the auditor may have additional responsibilities under law, regulation or relevant ethical requirements regarding an entity's non-compliance with laws and regulations, including fraud, which may differ from or go beyond this and other ISAs, such as: (Ref: Para. A15) (a) Responding to identified or suspected non-compliance with laws and regulations, including requirements in relation to specific communications with management and those charged with governance, assessing the appropriateness of their response to non-compliance and determining whether further action is needed; (b) Communicating identified or suspected non-compliance with laws and regulations to other auditors (e.g., in an audit of group financial statements), or reporting such non-compliance to an appropriate authority outside the entity (e.g., regulatory, enforcement or supervisory authorities); and (c) Documentation requirements regarding identified or suspected non-compliance with laws and regulations. ISA 250 (Revised) deals with the auditor's responsibility to consider laws and regulations in an audit of financial statements. Complying with this responsibility and any additional responsibilities relating to relevant ethical requirements may provide further information that is relevant to the auditor's work in accordance with this and other ISAs	9. The auditor may have additional responsibilities under law, regulation or relevant ethical requirements regarding an entity's non-compliance with laws and regulations, including fraud, which may differ from or go beyond this and other ISAs, such as: (Ref: Para. A6) (a) Responding to identified or suspected non-compliance with laws and regulations, including requirements in relation to specific communications with management and those charged with governance, assessing the appropriateness of their response to non-compliance and determining whether further action is needed; (b) Communicating identified or suspected non-compliance with laws and regulations to other auditors (e.g., in an audit of group financial statements); and (c) Documentation requirements regarding identified or suspected non-compliance with laws and regulations. Complying with any additional responsibilities may provide further information that is relevant to the auditor's work in accordance with this and other ISAs (e.g., regarding the integrity of management or, where appropriate, those charged with governance).

Comparison of Proposed ISA 240 (Revised) with Extant ISA 240
IAASB Main Agenda (June 2023)

Proposed ISA 240 (Revised)	Extant ISA 240
(e.g., regarding the integrity of management or, where appropriate, those charged with governance).	
Relationship with Other ISAs	
14. Some ISAs that address specific topics also have requirements and guidance that are applicable to the auditor's work on the identification and assessment of the risks of material misstatement due to fraud and responses to address such assessed risks of material misstatement due to fraud. In these instances, the other ISAs expand upon how this ISA is applied. (Ref: Para.A16)	
Effective Date	Effective Date
15. This ISA is effective for audits of financial statements for periods beginning on or after [DATE].	10. This ISA is effective for audits of financial statements for periods beginning on or after December 15, 2009.
Objectives	Objectives
16. The objectives of the auditor are: (a) To identify and assess the risks of material misstatement of the financial statements due to fraud; (b) To obtain sufficient appropriate audit evidence regarding the assessed risks of material misstatement due to fraud, through designing and implementing appropriate responses; (c) To respond appropriately to fraud or suspected fraud identified during the audit; and (d) To report in accordance with this ISA.	11. The objectives of the auditor are: (a) To identify and assess the risks of material misstatement of the financial statements due to fraud; (b) To obtain sufficient appropriate audit evidence regarding the assessed risks of material misstatement due to fraud, through designing and implementing appropriate responses; and (c) To respond appropriately to fraud or suspected fraud identified during the audit.

Proposed ISA 240 (Revised)	Extant ISA 240
Definitions	Definitions
17. For purposes of the ISAs, the following terms have the meanings attributed below: (a) Fraud – An intentional act by one or more individuals among management, those charged with governance, employees, or third parties, involving the use of deception to obtain an unjust or illegal advantage. (Ref: Para. A17–A20) (b) Fraud risk factors – Events or conditions that indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud. (Ref: Para. A21–A22)	12. For purposes of the ISAs, the following terms have the meanings attributed below: (a) Fraud – An intentional act by one or more individuals among management, those charged with governance, employees, or third parties, involving the use of deception to obtain an unjust or illegal advantage. (b) Fraud risk factors – Events or conditions that indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud.
Requirements	Requirements
Professional Skepticism	Professional Skepticism
18. In accordance with ISA 200,¹⁴ the auditor shall maintain professional skepticism throughout the audit, recognizing the possibility that a material misstatement due to fraud could exist. (Ref: Para. A23–A26)	13. In accordance with ISA 200¹⁵, the auditor shall maintain professional skepticism throughout the audit, recognizing the possibility that a material misstatement due to fraud could exist, notwithstanding the auditor's past experience of the honesty and integrity of the entity's management and those charged with governance. (Ref: Para. A8–A9)
19. If conditions identified during the audit cause the auditor to believe that a record or document may not be authentic or that terms in a document have been modified but not disclosed to the auditor, the auditor shall investigate further. (Ref: Para. A27–A28)	14. Unless the auditor has reason to believe the contrary, the auditor may accept records and documents as genuine. If conditions identified during the audit cause the auditor to believe that a document may not be authentic or that terms in a document have been modified but not disclosed to the auditor, the auditor shall investigate further. (Ref: Para.

¹⁴ ISA 200, paragraph 15

¹⁵ ISA 200, paragraph 15

Comparison of Proposed ISA 240 (Revised) with Extant ISA 240
IAASB Main Agenda (June 2023)

Proposed ISA 240 (Revised)	Extant ISA 240
	A10)
20. The auditor shall remain alert throughout the audit engagement for information about fraud, suspected fraud, or alleged fraud. (Ref: Para. A29–A30B)	
21. If any fraud or suspected fraud, is identified, the auditor shall perform the additional audit procedures in accordance with paragraphs 54–63.	
Engagement Resources	
22. In applying ISA 220 (Revised), ¹⁶ the engagement partner shall determine that members of the engagement team collectively have the appropriate competence and capabilities, including appropriate specialized skills or knowledge to perform risk assessment procedures, identify and assess the risks of material misstatement due to fraud, design and perform further audit procedures to respond to those risks, or evaluate the audit evidence obtained. (Ref: Para. A31–A34)	
Engagement Performance	
23. In applying ISA 220 (Revised), ¹⁷ the engagement partner shall take responsibility for the direction and supervision of the members of the engagement team and the review of their work, taking account the: (Ref: Para.A35–A36) (a) Skills, knowledge, and experience of the individuals to be given	30. In determining overall responses to address the assessed risks of material misstatement due to fraud at the financial statement level, the auditor shall: (a) Assign and supervise personnel taking account of the knowledge, skill and ability of the individuals to be given

¹⁶ ISA 220 (Revised), paragraphs 25-28

¹⁷ ISA 220 (Revised), paragraph 29

Proposed ISA 240 (Revised)	Extant ISA 240
significant engagement responsibilities; and (b) Risks of material misstatement due to fraud identified and assessed in accordance with ISA 315 (Revised 2019).	significant engagement responsibilities and the auditor's assessment of the risks of material misstatement due to fraud for the engagement; (Ref: Para. A35–A36) (b) ... (c) ...
24. In applying ISA 220 (Revised),¹⁸ the engagement partner, shall determine that the nature, timing and extent of direction, supervision and review is responsive to the nature and circumstances of the audit engagement. In making this determination, the engagement partner shall consider matters identified during the course of the audit engagement, including: (Ref: Para. A37–A38) (a) Events or conditions that have subsequently been identified that indicate an incentive or pressure to commit fraud, or provide an opportunity to commit fraud (i.e., additional fraud risk factors are present); (Ref: Para. A39) (b) Fraud, suspected fraud, or alleged fraud; and (c) Control deficiencies related to the prevention or detection of fraud.	
Ongoing Nature of Communications with Management and Those Charged with Governance	
25. The auditor shall communicate with management and those charged with governance matters related to fraud at appropriate times throughout the audit engagement. (Ref: Para. A40–A44)	

¹⁸ ISA 220 (Revised), paragraph 30(b)

Proposed ISA 240 (Revised)	Extant ISA 240
Risk Assessment Procedures and Related Activities	Risk Assessment Procedures and Related Activities
26. In applying ISA 315 (Revised 2019),¹⁹ the auditor shall perform the procedures in paragraphs 30–36 to obtain audit evidence that provides an appropriate basis for the: (Ref: Para. A45–A46) (a) Identification and assessment of risks of material misstatement due to fraud, at the financial statement and assertion levels, taking into account fraud risk factors; and (b) Design of further audit procedures in accordance with ISA 330.	17. When performing risk assessment procedures and related activities to obtain an understanding of the entity and its environment, the applicable financial reporting framework and the entity's system of internal control, required by ISA 315 (Revised 2019), the auditor shall perform the procedures in paragraphs 23–43 to obtain information for use in identifying the risks of material misstatement due to fraud.
<i>Information from Other Sources</i> 27. In applying ISA 315 (Revised 2019),²⁰ the auditor shall consider whether information from other sources obtained by the auditor indicates that one or more fraud risk factors are present. (Ref: Para. A47–A48)	<i>Other Information</i> 24. The auditor shall consider whether other information obtained by the auditor indicates risks of material misstatement due to fraud. (Ref: Para. A23)
<i>Retrospective Review of the Outcome of Previous Significant Accounting Estimates</i> 28. In applying ISA 540 (Revised),²¹ the auditor shall perform a retrospective review of management judgments and assumptions related to the outcome of previous significant accounting estimates, or where applicable, their subsequent re-estimation to assist in identifying and assessing the risks of material misstatement due to fraud in the current period.	33. Irrespective of the auditor's assessment of the risks of management override of controls, the auditor shall design and perform audit procedures to: (a) ... (b) Review accounting estimates for biases and evaluate whether the circumstances producing the bias, if any, represent a risk of material misstatement due to fraud. In performing this review, the auditor shall:

¹⁹ ISA 315 (Revised 2019), paragraph 13

²⁰ ISA 315 (Revised 2019), paragraphs 15–16

²¹ ISA 540 (Revised), *Auditing Accounting Estimates and Related Disclosures*, paragraph 14

Proposed ISA 240 (Revised)	Extant ISA 240
	(i) ... (ii) Perform a retrospective review of management judgments and assumptions related to significant accounting estimates reflected in the financial statements of the prior year. (Ref: Para. A46–A48) (c) ...
<i>Engagement Team Discussion</i> 29. In applying ISA 315 (Revised 2019),²² when holding the engagement team discussion, the engagement partner and other key engagement team members shall place particular emphasis on how and where the entity's financial statements may be susceptible to material misstatement due to fraud, including how fraud may occur. In doing so, the engagement team discussion shall include: (Ref: Para. A49–A49B and A52) (a) An exchange of ideas about fraud risk factors, including: (Ref: Para. A50–A51) (i) Incentives for management, those charged with governance or employees to commit fraud; (ii) How one or more individuals among management, those charged with governance, or employees could perpetrate and conceal fraudulent financial reporting; and (iii) How assets of the entity could be misappropriated. (b) A consideration of any:	Discussion among the Engagement Team 16. ISA 315 (Revised 2019) requires a discussion among the engagement team members and a determination by the engagement partner of which matters are to be communicated to those team members not involved in the discussion.²³ This discussion shall place particular emphasis on how and where the entity's financial statements may be susceptible to material misstatement due to fraud, including how fraud might occur. The discussion shall occur setting aside beliefs that the engagement team members may have that management and those charged with governance are honest and have integrity. (Ref: Para. A11–A12)

²² ISA 315 (Revised 2019), paragraphs 17 and A42–A43

²³ ISA 315 (Revised 2019), paragraphs 17–18

Proposed ISA 240 (Revised)	Extant ISA 240
(i) Fraud that has occurred at the entity during the current or prior years that has an effect on the entity's financial statements of which engagement team members have been notified, including how such fraud may impact the overall strategy and audit plan for the audit engagement; and (ii) Allegations of fraud that have come to the attention of engagement team members, including how to respond to these allegations.	
Obtaining an Understanding of the Entity and Its Environment, the Applicable Financial Reporting Framework and the Entity's System of Internal Control	
<i>Understanding the Entity and Its Environment, and the Applicable Financial Reporting Framework</i> 30. In applying ISA 315 (Revised 2019),²⁴ the auditor shall obtain an understanding of matters related to the: (a) Entity and its environment that may lead to an increased susceptibility to misstatement due to management bias or other fraud risk factors, including with respect to: (i) The entity's organizational structure and ownership, governance, objectives and strategy and geographic dispersion; (Ref: Para. A54–A57) (ii) The industry; and (Ref: Para. A58) (iii) The performance measures used, internally and	

²⁴ ISA 315 (Revised 2019), paragraph 19

Proposed ISA 240 (Revised)	Extant ISA 240
externally, that may create incentives or pressures to achieve financial performance targets. (Ref: Para. A59–A61) (b) Applicable financial reporting framework and the entity's accounting policies that may lead to an increased susceptibility to misstatement due to management bias or other fraud risk factors. (Ref: Para. A62)	
<i>Understanding the Components of the Entity's System of Internal Control</i> Control Environment 31. In applying ISA 315 (Revised 2019),²⁵ the auditor shall: (a) Obtain an understanding of how management has created and maintained a culture of honesty and ethical behavior, including how management communicates with its employees its views on business practices and ethical behavior. (Ref: Para. A63–A65)	18. The auditor shall make inquiries of management regarding: (a) (b) ... (c) Management's communication, if any, to employees regarding its views on business practices and ethical behavior.
(b) Obtain an understanding of how those charged with governance exercise oversight of management's processes for identifying and responding to the risks of fraud in the entity and the controls that management has established to address these risks. (Ref: Para. A66–A69)	21. Unless all of those charged with governance are involved in managing the entity,²⁶ the auditor shall obtain an understanding of how those charged with governance exercise oversight of management's processes for identifying and responding to the risks of fraud in the entity and the controls that management has established to mitigate these risks. (Ref: Para. A20–A22)
(c) Make inquiries of management regarding management's communications to those charged with governance regarding	18. The auditor shall make inquiries of management regarding: (a) ...

²⁵ ISA 315 (Revised 2019), paragraph 21

²⁶ ISA 260 (Revised), *Communication with Those Charged with Governance*, paragraph 13

Proposed ISA 240 (Revised)	Extant ISA 240
its processes for identifying and responding to the risks of fraud in the entity.	(b) ... (c) Management's communication, if any, to those charged with governance regarding its processes for identifying and responding to the risks of fraud in the entity; and (d) ...
(d) Make inquiries of those charged with governance about: (Ref: Para. A70–A73) (i) Whether they have knowledge of any fraud, suspected fraud, or alleged fraud affecting the entity;	22. Unless all of those charged with governance are involved in managing the entity, the auditor shall make inquiries of those charged with governance to determine whether they have knowledge of any actual, suspected or alleged fraud affecting the entity. These inquiries are made in part to corroborate the responses to the inquiries of management.
(ii) Their views about whether and how the financial statements may be materially misstated due to fraud, including their views on possible areas that are susceptible to misstatement due to management bias or management fraud; and (iii) Whether they are aware of deficiencies in the system of internal control related to the prevention and detection of fraud, and the remediation efforts to address such deficiencies.	
The Entity's Risk Assessment Process 32. In applying ISA 315 (Revised 2019),²⁷ the auditor shall: (a) Obtain an understanding of how the entity's risk assessment process: (Ref: Para. A74–A83)	18. The auditor shall make inquiries of management regarding: (a) ... (b) Management's process for identifying and responding to the risks of fraud in the entity, including any specific risks of fraud

²⁷ ISA 315 (Revised 2019), paragraph 22

Proposed ISA 240 (Revised)	Extant ISA 240
(i) Identifies fraud risks related to the misappropriation of assets and fraudulent financial reporting, including any classes of transactions, account balances, or disclosures for which risks of fraud exist; (ii) Assesses the significance of the identified fraud risks, including the likelihood of their occurrence; and (iii) Addresses the assessed fraud risks.	that management has identified or that have been brought to its attention, or classes of transactions, account balances, or disclosures for which a risk of fraud is likely to exist; (Ref: Para. A15) (c) ... (d) ...
(b) Make inquiries of management and of other appropriate individuals within the entity about: (Ref: Para. A84–A86) (i) Whether they have knowledge of any fraud, suspected fraud, or alleged fraud affecting the entity; and	19. The auditor shall make inquiries of management, and others within the entity as appropriate, to determine whether they have knowledge of any actual, suspected or alleged fraud affecting the entity. (Ref: Para. A16–A18)
(ii) Their views that the financial statements may be materially misstated due to fraud.	18. The auditor shall make inquiries of management regarding: (a) Management’s assessment of the risk that the financial statements may be materially misstated due to fraud, including the nature, extent and frequency of such assessments; (Ref: Para. A13–A14) (b) ... (c) ... (d) ...
The Entity’s Process to Monitor the System of Internal Control 33. In applying ISA 315 (Revised 2019),²⁸ the auditor shall: (a) Understand those aspects of the entity’s process that address	

²⁸ ISA 315 (Revised 2019), paragraph 24

Proposed ISA 240 (Revised)	Extant ISA 240
the ongoing and separate evaluations for monitoring the effectiveness of controls to prevent or detect fraud, and the identification and remediation of control deficiencies (Ref: Para. A87)	
(b) Make inquiries of appropriate individuals within the internal audit function (if the function exists) about whether they have knowledge of any fraud, suspected fraud, or alleged fraud affecting the entity, and to obtain their views about the risks of fraud. (Ref: Para. A88–A89)	20. For those entities that have an internal audit function, the auditor shall make inquiries of appropriate individuals within the function to determine whether they have knowledge of any actual, suspected or alleged fraud affecting the entity, and to obtain its views about the risks of fraud. (Ref: Para. A19)
The Information System and Communication 34. In applying ISA 315 (Revised 2019),²⁹ the auditor shall obtain an understanding of the entity's information system and communication relevant to the preparation of the financial statements, including understanding how journal entries are initiated, processed and corrected as necessary. (Ref: Para. A90–A92)	
Control Activities 35. In applying ISA 315 (Revised 2019),³⁰ the auditor shall obtain an understanding of controls over journal entries that prevent or detect fraud. (Ref: Para. A93–A94)	
<i>Control Deficiencies Within the Entity's System of Internal Control</i> 36. In applying ISA 315 (Revised 2019),³¹ based on the auditor's evaluation of each of the components of the entity's system of internal	

²⁹ ISA 315 (Revised 2019), paragraph 25

³⁰ ISA 315 (Revised 2019), paragraph 26

³¹ ISA 315 (Revised 2019), paragraph 27

Proposed ISA 240 (Revised)	Extant ISA 240
control, the auditor shall determine whether there are deficiencies in internal control identified that are relevant to the prevention or detection of fraud. (Ref: Para. A95)	
Identifying and Assessing the Risks of Material Misstatement due to Fraud	
<i>Evaluation of Fraud Risk Factors</i> 37. The auditor shall evaluate whether the audit evidence obtained from the risk assessment procedures and related activities indicates that one or more fraud risk factors are present. (Ref: Para. A96–A99)	<i>Evaluation of Fraud Risk Factors</i> 25. The auditor shall evaluate whether the information obtained from the other risk assessment procedures and related activities performed indicates that one or more fraud risk factors are present. While fraud risk factors may not necessarily indicate the existence of fraud, they have often been present in circumstances where frauds have occurred and therefore may indicate risks of material misstatement due to fraud. (Ref: Para. A24–A28)
<i>Evaluating the Audit Evidence Obtained from the Risk Assessment Procedures</i> Inquiries of Management and Inconsistent Responses 38. In applying ISA 500,³² if the responses to inquiries of individuals within the internal audit function, management, those charged with governance, or others within the entity, are inconsistent with each other, the auditor shall: (a) Determine what modifications or additions to audit procedures are necessary to understand and address the inconsistency; and (b) Consider the effect, if any, on other aspects of the audit.	15. Where responses to inquiries of management or those charged with governance are inconsistent, the auditor shall investigate the inconsistencies.

³² ISA 500, *Audit Evidence*, paragraph 11

Proposed ISA 240 (Revised)	Extant ISA 240
Analytical Procedures Performed and Unusual or Unexpected Relationships Identified 39. The auditor shall determine whether unusual or unexpected relationships that have been identified in performing analytical procedures, including those related to revenue accounts, may indicate risks of material misstatement due to fraud. (Ref: Para. A100)	<i>Unusual or Unexpected Relationships Identified</i> 23. The auditor shall evaluate whether unusual or unexpected relationships that have been identified in performing analytical procedures, including those related to revenue accounts, may indicate risks of material misstatement due to fraud.
<i>Identifying and Assessing the Risks of Material Misstatement Due to Fraud</i> 40. In applying ISA 315 (Revised 2019),³³ the auditor shall: (a) Identify and assess the risks of material misstatement due to fraud and determine whether they exist at the financial statement level, or the assertion level for classes of transactions, account balances and disclosures. (Ref: Para. A101–A104)	Identification and Assessment of the Risks of Material Misstatement Due to Fraud 26. In accordance with ISA 315 (Revised 2019), the auditor shall identify and assess the risks of material misstatement due to fraud at the financial statement level, and at the assertion level for classes of transactions, account balances and disclosures.³⁴
(b) Treat those assessed risks of material misstatement due to fraud as significant risks and accordingly, to the extent not already done so, the auditor shall obtain an understanding of the design and implementation of the entity's related controls, including control activities, relevant to such risks. (Ref: Para. A105).	28. The auditor shall treat those assessed risks of material misstatement due to fraud as significant risks and accordingly, to the extent not already done so, the auditor shall identify the entity's controls that address such risks and evaluate their design and determine whether they have been implemented.³⁵ (Ref: Para. A32–A33)
Presumption of the Risks of Material Misstatement Due to Fraud in Revenue Recognition 41. When identifying and assessing the risks of material misstatement	27. When identifying and assessing the risks of material misstatement due to fraud, the auditor shall, based on a presumption that there are risks of fraud in revenue recognition, evaluate which types of revenue,

³³ ISA 315 (Revised 2019), paragraph 28-34

³⁴ ISA 315 (Revised 2019), paragraph 28

³⁵ ISA 315 (Revised 2019), paragraph 26(a)(i) and 26(d)

Proposed ISA 240 (Revised)	Extant ISA 240
due to fraud, the auditor shall, based on a presumption that there are risks of material misstatement due to fraud in revenue recognition, determine which types of revenue, revenue transactions or relevant assertions give rise to such risks. In making this determination, if the auditor identifies fraud risk factors related to revenue recognition as part of the evaluation in accordance with paragraph 37, the auditor shall take into account those fraud risk factors. (Ref: Para. A106–A111)	revenue transactions or assertions give rise to such risks. Paragraph 48 specifies the documentation required where the auditor concludes that the presumption is not applicable in the circumstances of the engagement and, accordingly, has not identified revenue recognition as a risk of material misstatement due to fraud. (Ref: Para. A29–A31)
Significant Risk Related to Management Override of Controls 42. Due to the unpredictable way in which management is able to override controls and irrespective of the auditor's assessment of the risks of management override of controls, the auditor shall treat those risks as risks of material misstatement due to fraud and thus a significant risk. (Ref: Para. A112)	32. Management is in a unique position to perpetrate fraud because of management's ability to manipulate accounting records and prepare fraudulent financial statements by overriding controls that otherwise appear to be operating effectively. Although the level of risk of management override of controls will vary from entity to entity, the risk is nevertheless present in all entities. Due to the unpredictable way in which such override could occur, it is a risk of material misstatement due to fraud and thus a significant risk.
Responses to the Assessed Risks of Material Misstatement Due to Fraud	Responses to the Assessed Risks of Material Misstatement Due to Fraud
<i>Designing and Performing Audit Procedures in a Manner That Is Not Biased</i> 43. The auditor shall design and perform audit procedures in response to the assessed risks of material misstatement due to fraud in a manner that is not biased towards obtaining audit evidence that may be corroborative or towards excluding audit evidence that may be contradictory.	
<i>Unpredictability in the Selection of Audit Procedures</i>	30. In determining overall responses to address the assessed risks of material misstatement due to fraud at the financial statement level,

Proposed ISA 240 (Revised)	Extant ISA 240
44. The auditor shall incorporate an element of unpredictability in the selection of the nature, timing and extent of audit procedures when determining responses to address the assessed risks of material misstatement due to fraud. (Ref: Para. A113–A115)	the auditor shall: (a) (b) (c) Incorporate an element of unpredictability in the selection of the nature, timing and extent of audit procedures. (Ref: Para. A37)
<i>Overall Responses</i> 45. In accordance with ISA 330,³⁶ the auditor shall determine overall responses to address the assessed risks of material misstatement due to fraud at the financial statement level. (Ref: Para. A116)	<i>Overall Responses</i> 29. In accordance with ISA 330, the auditor shall determine overall responses to address the assessed risks of material misstatement due to fraud at the financial statement level.³⁷ (Ref: Para. A34)
46. In determining overall responses to address the assessed risks of material misstatement due to fraud at the financial statement level, the auditor shall evaluate whether the selection and application of accounting policies by the entity, particularly those related to subjective measurements and complex transactions, may be indicative of fraudulent financial reporting resulting from management's effort to manage earnings.	30. In determining overall responses to address the assessed risks of material misstatement due to fraud at the financial statement level, the auditor shall: (a) ... (b) Evaluate whether the selection and application of accounting policies by the entity, particularly those related to subjective measurements and complex transactions, may be indicative of fraudulent financial reporting resulting from management's effort to manage earnings; and (c) ...
<i>Audit Procedures Responsive to the Assessed Risks of Material Misstatement Due to Fraud at the Assertion Level</i>	<i>Audit Procedures Responsive to Assessed Risks of Material Misstatement Due to Fraud at the Assertion Level</i> 31. In accordance with ISA 330, the auditor shall design and perform

³⁶ ISA 330, paragraph 5

³⁷ ISA 330, paragraph 5

Proposed ISA 240 (Revised)	Extant ISA 240
47. In accordance with ISA 330,³⁸ the auditor shall design and perform further audit procedures whose nature, timing and extent are responsive to the assessed risks of material misstatement due to fraud at the assertion level. (Ref: Para. A117–A125)	further audit procedures whose nature, timing and extent are responsive to the assessed risks of material misstatement due to fraud at the assertion level.³⁹ (Ref: Para. A38–A41)
<i>Audit Procedures Responsive to Risks Related to Management Override of Controls</i> 48. Irrespective of the auditor's assessment of the risks of management override of controls, the auditor shall design and perform the audit procedures in accordance with paragraphs 49–53, and determine whether other audit procedures are needed in addition to those in paragraphs 49–53, in order to respond to the identified risks of management override of controls.	<i>Audit Procedures Responsive to Risks Related to Management Override of Controls</i> 33. Irrespective of the auditor's assessment of the risks of management override of controls, the auditor shall design and perform audit procedures to: ... 34. The auditor shall determine whether, in order to respond to the identified risks of management override of controls, the auditor needs to perform other audit procedures in addition to those specifically referred to above (that is, where there are specific additional risks of management override that are not covered as part of the procedures performed to address the requirements in paragraph 33).
Journal Entries and Other Adjustments 49. The auditor shall design and perform audit procedures to test the appropriateness of journal entries recorded in the general ledger and other adjustments made in the preparation of the financial statements. (Ref: Para. A126–A129) 50. In designing and performing audit procedures in accordance with paragraph 49, the auditor shall: (a) Make inquiries of individuals involved in the financial reporting	33. Irrespective of the auditor's assessment of the risks of management override of controls, the auditor shall design and perform audit procedures to: (a) Test the appropriateness of journal entries recorded in the general ledger and other adjustments made in the preparation of the financial statements. In designing and performing audit procedures for such tests, the auditor shall: (i) Make inquiries of individuals involved in the financial

³⁸ ISA 330, paragraph 6

³⁹ ISA 330, paragraph 6

Proposed ISA 240 (Revised)	Extant ISA 240
process about their knowledge of inappropriate or unusual activity relating to the processing of journal entries and other adjustments; (b) Obtain audit evidence about the completeness of the population of all journal entries and other adjustments made in the preparation of the financial statements throughout the period; (Ref: Para. A131–A133 and A140) (c) Select journal entries and other adjustments made at the end of a reporting period; and (Ref: Para. A134–A135, A137 and A139–A140) (d) Determine the need to test journal entries and other adjustments throughout the period. (Ref: Para. A134–A135 and A138–A140)	reporting process about inappropriate or unusual activity relating to the processing of journal entries and other adjustments; (ii) Select journal entries and other adjustments made at the end of a reporting period; and (iii) Consider the need to test journal entries and other adjustments throughout the period. (Ref: Para. A42–A45) (b) ... (c) ...
Accounting Estimates 51. The auditor shall review accounting estimates for management bias and evaluate whether the circumstances producing the bias, if any, represent a risk of material misstatement due to fraud. (Ref: Para. A141–A142) 52. In designing and performing audit procedures in accordance with paragraph 51, the auditor shall: (a) Consider the audit evidence obtained from the retrospective review performed in accordance with paragraph 28; and (b) Evaluate whether the judgments and decisions made by management in making the accounting estimates included in the financial statements, even if they are individually reasonable, are indicators of possible management bias that may represent a risk of material misstatement due to fraud. If	33. Irrespective of the auditor’s assessment of the risks of management override of controls, the auditor shall design and perform audit procedures to: (a) ... (b) Review accounting estimates for biases and evaluate whether the circumstances producing the bias, if any, represent a risk of material misstatement due to fraud. In performing this review, the auditor shall: (i) Evaluate whether the judgments and decisions made by management in making the accounting estimates included in the financial statements, even if they are individually reasonable, indicate a possible bias on the part of the entity’s management that may represent a risk of material misstatement due to fraud. If so, the auditor

Proposed ISA 240 (Revised)	Extant ISA 240
so, the auditor shall reevaluate the accounting estimates taken as a whole. (Ref: Para. A143–A145)	shall reevaluate the accounting estimates taken as a whole; and (ii) ... (c) ...
Significant Transactions Outside the Normal Course of Business or Otherwise Appear Unusual 53. For significant transactions that are outside the normal course of business for the entity, or that otherwise appear to be unusual given the auditor's understanding of the entity and its environment and information from other sources obtained during the audit, the auditor shall evaluate whether the business rationale (or the lack thereof) of the transactions suggests that they may have been entered into to engage in fraudulent financial reporting or to conceal misappropriation of assets. (Ref: Para. A146–A147)	33. Irrespective of the auditor's assessment of the risks of management override of controls, the auditor shall design and perform audit procedures to: (a) ... (b) ... (c) For significant transactions that are outside the normal course of business for the entity, or that otherwise appear to be unusual given the auditor's understanding of the entity and its environment and other information obtained during the audit, the auditor shall evaluate whether the business rationale (or the lack thereof) of the transactions suggests that they may have been entered into to engage in fraudulent financial reporting or to conceal misappropriation of assets. (Ref: Para. A49)
Fraud or Suspected Fraud	
54. When fraud or suspected fraud is identified, the engagement partner shall: (Ref: Para. A148–A149 and A155) (a) Obtain an understanding of the nature, timing and extent of the fraud or suspected fraud in order to determine the effect on the audit engagement. (Ref: Para. A150–A153) (b) Communicate with management and those charged with governance as required by paragraphs 71–73; and (Ref: Para.	

Proposed ISA 240 (Revised)	Extant ISA 240
A154) (c) Report to an appropriate authority outside the entity as required by paragraph 74.	
55. [Not used]	
56. [Not used]	
57. Based on the understanding obtained about the fraud or suspected fraud, the auditor shall determine whether to perform additional risk assessment procedures to provide an appropriate basis for the identification and assessment of the risks of material misstatement due to fraud in accordance with ISA 315 (Revised 2019).⁴⁰ (Ref: Para. A156)	37. If the auditor identifies a misstatement, whether material or not, and the auditor has reason to believe that it is or may be the result of fraud and that management (in particular, senior management) is involved, the auditor shall reevaluate the assessment of the risks of material misstatement due to fraud and its resulting impact on the nature, timing and extent of audit procedures to respond to the assessed risks. ... (Ref: Para. A53)
58. [Not used]	
59. The auditor shall perform additional audit procedures to address the identified fraud or suspected fraud including: (a) Determining if control deficiencies related to the prevention or detection of fraud exist relating to the identified fraud or suspected fraud. (Ref. Para A157) (b) Assessing whether remediation measures taken by management or those charged with governance to address the fraud or suspected fraud are appropriate. (Ref Para A157A) (c) Determining additional responsibilities under law, regulation or relevant ethical requirements about the entity's non-compliance	

⁴⁰ ISA 315 (Revised 2019), paragraph 35

Proposed ISA 240 (Revised)	Extant ISA 240
with laws or regulations in accordance with ISA 250 (Revised). (d) If applicable, consider the impact on other engagements, including audit engagements from prior years.	
60. If, based on the additional procedures performed, the auditor identifies a misstatement due to fraud, the auditor shall: (Ref: Para. A158–A158A)	36. If the auditor identifies a misstatement, the auditor shall evaluate whether such a misstatement is indicative of fraud. ... 37. If the auditor identifies a misstatement, whether material or not, and the auditor has reason to believe that it is or may be the result of fraud ...
(a) Determine the implications of the misstatement in relation to other aspects of the audit, including when the auditor has reason to believe that management (in particular, senior management) is involved; and (Ref: Para. A159)	36. ... If there is such an indication, the auditor shall evaluate the implications of the misstatement in relation to other aspects of the audit, particularly the reliability of management representations, recognizing that an instance of fraud is unlikely to be an isolated occurrence. (Ref: Para. A52) 37. ... and that management (in particular, senior management) is involved, the auditor shall ...
(b) Consider whether circumstances or conditions relating to the misstatement indicate possible collusion involving management, employees or third parties when reconsidering the reliability of management representations and audit evidence previously obtained.	37. ... The auditor shall also consider whether circumstances or conditions indicate possible collusion involving employees, management or third parties when reconsidering the reliability of evidence previously obtained. (Ref: Para. A53)
61. In applying ISA 450,⁴¹ the auditor shall determine whether identified misstatements due to fraud are material by considering the nature of the qualitative or quantitative circumstances giving rise to the misstatement. In doing so, the auditor shall: (Ref: Para. A160–A161)	36. If the auditor identifies a misstatement, the auditor shall evaluate whether such a misstatement is indicative of fraud. ...If there is such an indication, the auditor shall evaluate the implications of the misstatement in relation to other aspects of the audit, particularly the

⁴¹ ISA 450, *Evaluation of Misstatements Identified During the Audit*

Proposed ISA 240 (Revised)	Extant ISA 240
(a) Conclude that the risk of material misstatements due to fraud has been reduced to an acceptably low level; or (b) Determine that a material misstatement due to fraud has been identified.	reliability of management representations, recognizing that an instance of fraud is unlikely to be an isolated occurrence. (Ref: Para. A52)
62. If the auditor determines that the financial statements are materially misstated due to fraud, the auditor shall: (a) Determine the implications for the audit or the auditor's opinion on the financial statements in accordance with ISA 705 (Revised). (b) Discuss the matter and an approach to further investigate the matter with an appropriate level of management that is at least one level above those involved, and those charged with governance. (c) If appropriate, obtain advice from legal counsel.	38. If the auditor confirms that ... the financial statements are materially misstated as a result of fraud the auditor shall evaluate the implications for the audit. (Ref: Para. A54)
63. If the auditor is unable to obtain sufficient appropriate audit evidence as relates to a material misstatement due to fraud, the auditor shall determine the implications for the audit or the auditor's opinion on the financial statements in accordance with ISA 705 (Revised).	38. If the auditor ... is unable to conclude whether the financial statements are materially misstated as a result of fraud the auditor shall evaluate the implications for the audit. (Ref: Para. A54)
Evaluation of the Sufficiency and Appropriateness of Audit Evidence (Ref: Para. A162)	Evaluation of Audit Evidence (Ref: Para. A50)
Analytical Procedures Performed Near the End of the Audit in Forming an Overall Conclusion 64. The auditor shall determine whether analytical procedures that are performed near the end of the audit, when forming an overall conclusion as to whether the financial statements are consistent with	35. The auditor shall evaluate whether analytical procedures that are performed near the end of the audit, when forming an overall conclusion as to whether the financial statements are consistent with the auditor's understanding of the entity, indicate a previously unrecognized risk of material misstatement due to fraud. (Ref: Para.

Proposed ISA 240 (Revised)	Extant ISA 240
the auditor's understanding of the entity, indicate a previously unrecognized risk of material misstatement due to fraud. (Ref: Para. A165–A166)	A51)
Auditor Unable to Continue the Audit Engagement	Auditor Unable to Continue the Engagement
65. If, as a result of a misstatement resulting from fraud or suspected fraud, the auditor encounters exceptional circumstances that bring into question the auditor's ability to continue performing the audit engagement, the auditor shall: (a) Determine the professional and legal responsibilities applicable in the circumstances, including whether there is a requirement for the auditor to report to the person or persons who made the audit appointment or, in some cases, to regulatory authorities; (b) Consider whether it is appropriate to withdraw from the engagement, where withdrawal is possible under applicable law or regulation; and (c) If the auditor withdraws: (i) Discuss with the appropriate level of management and those charged with governance the auditor's withdrawal from the engagement and the reasons for the withdrawal; and (ii) Determine whether there is a professional or legal requirement to report to the person or persons who made the audit appointment or, in some cases, to regulatory authorities, the auditor's withdrawal from the engagement and the reasons for the withdrawal. (Ref: Para. A167–A170)	39. If, as a result of a misstatement resulting from fraud or suspected fraud, the auditor encounters exceptional circumstances that bring into question the auditor's ability to continue performing the audit, the auditor shall: (a) Determine the professional and legal responsibilities applicable in the circumstances, including whether there is a requirement for the auditor to report to the person or persons who made the audit appointment or, in some cases, to regulatory authorities; (b) Consider whether it is appropriate to withdraw from the engagement, where withdrawal is possible under applicable law or regulation; and (c) If the auditor withdraws: (i) Discuss with the appropriate level of management and those charged with governance the auditor's withdrawal from the engagement and the reasons for the withdrawal; and (ii) Determine whether there is a professional or legal requirement to report to the person or persons who made the audit appointment or, in some cases, to regulatory authorities, the auditor's withdrawal from the engagement and the reasons for the withdrawal. (Ref: Para. A55–A58)

Proposed ISA 240 (Revised)	Extant ISA 240
Implications for the Auditor's Report	
<i>Determining Key Audit Matters</i> 66. In applying ISA 701,⁴² the auditor shall determine, from the fraud related matters communicated with those charged with governance, those fraud related matters that required significant auditor attention in performing the audit. In making this determination, the auditor shall take into account the following: (Ref: Para. A171–A177) (a) Significant risks of material misstatement due to fraud; (b) The identification of fraud or suspected fraud; and (c) The identification of deficiencies in internal control that are relevant to the prevention and detection of fraud.	
67. In applying ISA 701,⁴³ the auditor shall determine which of the matters determined in accordance with paragraph 66 were of most significance in the audit of the financial statements of the current period and therefore are key audit matters. (Ref: Para. A178–A180)	
<i>Communicating Fraud Related Key Audit Matters</i> 68. In applying ISA 701,⁴⁴ in the Key Audit Matters section of the auditor's report, the auditor shall use an appropriate subheading that clearly describes that the matter relates to fraud. (Ref: Para. A181–A183)	

⁴² ISA 701, paragraph 9

⁴³ ISA 701, paragraph 10

⁴⁴ ISA 701, paragraph 11

Proposed ISA 240 (Revised)	Extant ISA 240
69. In applying ISA 701,⁴⁵ if the auditor determines, depending on the facts and circumstances of the entity and the audit, that there are no fraud related key audit matters to communicate, the auditor shall include a statement to this effect in the Key Audit Matters section of the auditor's report. (Ref: Para. A184–A187A)	
Written Representations	Written Representations
70. The auditor shall obtain written representations from management and, where appropriate, those charged with governance that: (Ref: Para. A188–A189) (a) They acknowledge their responsibility for the design, implementation and maintenance of internal control to prevent or detect fraud and have appropriately fulfilled those responsibilities; (b) They have disclosed to the auditor the results of management's assessment of the risk that the financial statements may be materially misstated as a result of fraud; (c) They have disclosed to the auditor their knowledge of fraud, or suspected fraud, affecting the entity involving: (i) Management; (ii) Employees who have significant roles in internal control; or (iii) Others where the fraud could have a material effect on the financial statements; and (d) They have disclosed to the auditor their knowledge of any	40. The auditor shall obtain written representations from management and, where appropriate, those charged with governance that: (a) They acknowledge their responsibility for the design, implementation and maintenance of internal control to prevent and detect fraud; (b) They have disclosed to the auditor the results of management's assessment of the risk that the financial statements may be materially misstated as a result of fraud; - I They have disclosed to the auditor their knowledge of fraud, or suspected fraud, affecting the entity involving: (i) Management; (ii) Employees who have significant roles in internal control; or (iii) Others where the fraud could have a material effect on the financial statements; and) They have disclosed to the auditor their knowledge of any allegations of fraud, or suspected fraud, affecting the entity's financial statements communicated by employees, former employees, analysts, regulators or others. (Ref: Para. A59–A60)

⁴⁵ ISA 701, paragraph 16

Proposed ISA 240 (Revised)	Extant ISA 240
allegations of fraud, or suspected fraud, affecting the entity's financial statements communicated by employees, former employees, analysts, regulators or others.	
Communications with Management and Those Charged with Governance	Communications to Management and with Those Charged with Governance
<i>Communication with Management</i> 71. If the auditor identifies fraud or suspected fraud, the auditor shall communicate these matters, unless prohibited by law or regulation, on a timely basis with the appropriate level of management in order to inform those with primary responsibility for the prevention or detection of fraud of matters relevant to their responsibilities. (Ref: Para. A190–A191)	41. If the auditor has identified a fraud or has obtained information that indicates that a fraud may exist, the auditor shall communicate these matters, unless prohibited by law or regulation, on a timely basis with the appropriate level of management in order to inform those with primary responsibility for the prevention and detection of fraud of matters relevant to their responsibilities. (Ref: Para. A61–A62)
<i>Communication with Those Charged with Governance</i> 72. Unless all of those charged with governance are involved in managing the entity, if the auditor identifies fraud or suspected fraud involving: (a) management; (b) employees who have significant roles in internal control; or (c) others where the fraud results in a material misstatement in the financial statements, the auditor shall communicate these matters with those charged with governance on a timely basis. If the auditor identifies suspected fraud involving management, the auditor shall communicate the suspected fraud with those charged with governance and discuss with them the nature, timing and extent of audit procedures necessary to complete the audit. Such communications with those charged with governance are required unless the communication is prohibited by law or	42. Unless all of those charged with governance are involved in managing the entity, if the auditor has identified or suspects fraud involving: (a) management; (b) employees who have significant roles in internal control; or (c) others where the fraud results in a material misstatement in the financial statements, the auditor shall communicate these matters with those charged with governance on a timely basis. If the auditor suspects fraud involving management, the auditor shall communicate these suspicions with those charged with governance and discuss with them the nature, timing and extent of audit procedures necessary to complete the audit. Such communications with those charged with governance are required unless the communication is prohibited by law or regulation. (Ref: Para. A61, A63–A65)

Proposed ISA 240 (Revised)	Extant ISA 240
regulation. (Ref: Para. A190 and A192–A194)	
73. The auditor shall communicate, unless prohibited by law or regulation, with those charged with governance any other matters related to fraud that are, in the auditor's judgment, relevant to the responsibilities of those charged with governance. (Ref: Para. A190 and A195)	43. The auditor shall communicate, unless prohibited by law or regulation, with those charged with governance any other matters related to fraud that are, in the auditor's judgment, relevant to their responsibilities. (Ref: Para. A61, A66)
Reporting to an Appropriate Authority Outside the Entity	Reporting Fraud to an Appropriate Authority Outside the Entity
74. If the auditor identifies fraud or suspected fraud, the auditor shall determine whether law, regulation or relevant ethical requirements: (Ref: Para. A196–A200) (a) Require the auditor to report to an appropriate authority outside the entity. (b) Establish responsibilities under which reporting to an appropriate authority outside the entity may be appropriate in the circumstances.	44. If the auditor has identified or suspects a fraud, the auditor shall determine whether law, regulation or relevant ethical requirements: (Ref: Para. A67–A69) (b) Require the auditor to report to an appropriate authority outside the entity. (c) Establish responsibilities under which reporting to an appropriate authority outside the entity may be appropriate in the circumstances.
Documentation	Documentation
75. In applying ISA 230, ⁴⁶ the auditor shall include the following in the audit documentation: (Ref: Para. A201)	45. The auditor shall include the following in the audit documentation ⁴⁷ of the identification and the assessment of the risks of material misstatement required by ISA 315 (Revised 2019): ⁴⁸ (a) ... (b) ...

⁴⁶ ISA 230, *Audit Documentation*, paragraphs 8–11, A6–A7 and Appendix

⁴⁷ ISA 230, *Audit Documentation*, paragraphs 8–11, and paragraph A6

⁴⁸ ISA 315 (Revised 2019), paragraph 38

Comparison of Proposed ISA 240 (Revised) with Extant ISA 240
IAASB Main Agenda (June 2023)

Proposed ISA 240 (Revised)	Extant ISA 240
	(c) ...
(a) The discussion among the engagement team regarding the susceptibility of the entity's financial statements to material misstatement due to fraud, the significant decisions reached, and the fraud risk factors identified, including audit documentation relating to those fraud risk factors in paragraph 29(a).	45. ... (a) The significant decisions reached during the discussion among the engagement team regarding the susceptibility of the entity's financial statements to material misstatement due to fraud; (b) ... (c) ...
(b) Key elements of the auditor's understanding in accordance with paragraphs 30–34, the sources of information from which the auditor's understanding was obtained, the rationale for the significant decisions reached, and the risk assessment procedures performed.	
(c) The evaluation of the design of controls over journal entries that prevent or detect fraud, and the determination whether such controls have been implemented, in accordance with the requirement in paragraph 35.	45. ... (a) ... (b) ... (c) Identified controls in the control activities component that address assessed risks of material misstatement due to fraud.
(d) The significant risks due to fraud at the financial statement level and at the assertion level, and the rationale for the significant judgments made.	45. ... (a) ... (b) The identified and assessed risks of material misstatement due to fraud at the financial statement level and at the assertion level; and (c) ...

Proposed ISA 240 (Revised)	Extant ISA 240
	46. The auditor shall include the following in the audit documentation of the auditor's responses to the assessed risks of material misstatement required by ISA 330:⁴⁹ (a) The overall responses to the assessed risks of material misstatement due to fraud at the financial statement level and the nature, timing and extent of audit procedures, and the linkage of those procedures with the assessed risks of material misstatement due to fraud at the assertion level; and (b) ...
(e) If the auditor has concluded that the presumption that a risk of material misstatement due to fraud related to revenue recognition is not applicable in the circumstances of the engagement, the reasons for that conclusion.	48. If the auditor has concluded that the presumption that there is a risk of material misstatement due to fraud related to revenue recognition is not applicable in the circumstances of the engagement, the auditor shall include in the audit documentation the reasons for that conclusion.
(f) The results of audit procedures performed, including those designed to address the risk of management override of controls, the significant professional judgments made, and the conclusions reached.	46. The auditor shall include the following in the audit documentation of the auditor's responses to the assessed risks of material misstatement required by ISA 330:⁵⁰ (a) ... (b) The results of the audit procedures, including those designed to address the risk of management override of controls.

⁴⁹ ISA 330, paragraph 28

⁵⁰ ISA 330, paragraph 28

Comparison of Proposed ISA 240 (Revised) with Extant ISA 240
IAASB Main Agenda (June 2023)

Proposed ISA 240 (Revised)	Extant ISA 240
(g) Fraud or suspected fraud identified, the results of audit procedures performed, the significant professional judgments made, and the conclusions reached.	
(h) Matters related to communications about fraud with management, those charged with governance, regulatory and enforcement authorities and others, including how management, and where applicable, those charged with governance have responded to the matters.	47. The auditor shall include in the audit documentation communications about fraud made to management, those charged with governance, regulators and others.